# SOI.PA - Soitec SA

*Full investment research | Model assumptions and source evidence*

Framework 8.0 | Research cutoff: 10 October 2026

**Status:** Covered engineered-substrate bottleneck. Workbook inclusion does not establish an actual holding.

**Excel Base: 82/100. Analytical Base: 49/60 = 82/100.** The current lattice score is retained. The probability of the bank forecast outcome is a separate model judgment.

**Active Q4 2027 ceiling: EUR 261.72 per share.** It values Q4 2027 through Q3 2028 recurring operating profit at the sanctioned **25x** multiple, using **37.26093616M** diluted economic shares. All financial tables are EUR millions unless labeled otherwise.

**What determines the case:** The substrate ramp is supported by issuer guidance and qualified manufacturing. The active forecast assigns a **30% subjective probability** to the supplied JPM fiscal FY27-FY29 outcome, including weaker mobile/auto sales and near-term profit as well as later photonics operating leverage. Product gross margins remain existing analytical assumptions. An explicit unallocated GP reconciliation captures the bank's otherwise undisclosed cost/mix/accounting difference. This is LOW-confidence modeled evidence, not a reported margin improvement.

## 1. Thesis, products and competitive position

SUBSTRATE CHOKEPOINT CANDIDATE. Smart Cut processing, wafer quality and foundry qualifications support a strong position in Photonics-SOI. The substrate can serve pluggables, near-packaged and co-packaged optics, which broadens demand beyond a single architecture. A cited market-share estimate is not proof that every optical architecture must use Soitec.

September 2 issuer guidance calls for roughly 50% Q2 FY27 growth at constant currency/scope, FY27 Photonics revenue 2.5-3× slightly above USD 100M, Q2 approximately USD 75M and H1 approximately USD 115M. Agreements with eight of roughly ten major photonics customers are expected in coming weeks; that future milestone is not marked completed. The rest of the business is broadly unchanged. Sources: SOI-1, SOI-2.

### Engineered wafers as the starting material

Soitec's Smart Cut process and engineered-wafer expertise support controlled material layers, uniformity and qualified starting substrates. Photonics-SOI is valuable where the device architecture requires that wafer stack. Customer qualification, licensed processes and production know-how can create strong switching friction, but market-share claims must be tied to the particular substrate class.

The broader portfolio includes RF/mobile, power, automotive and other engineered-substrate demand. A photonics ramp can therefore coexist with mobile inventory correction and uneven group utilization. Customer reservations or deposits improve visibility but are not themselves recognized wafer sales or a reported operating-profit figure.

## Competition and the economics of architecture

The original map identifies Shin-Etsu's licensed position, prospective GlobalWafers supply and Simgui's 200mm/China exposure. Their process rights, wafer sizes and customer qualifications must be distinguished. Silicon nitride can complement silicon photonics in some systems and substitute for particular functions in others; an architecture label alone cannot determine Soitec's captured substrate content.

Singapore qualification, wafer output and high-value product mix are the practical production checks. POI pricing, subsidies, compensation and FX also affect recurring profitability. The current sales update is not a complete quarterly OP disclosure; the margin and grant treatment below explicitly distinguishes model assumptions from reported results.

Research provenance: the product and competitive analysis in this section synthesizes the supplied archived product research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

## Verified competitive response

GlobalWafers' August 4 presentation states that RF-SOI and silicon-photonics products have entered small-volume production at St. Peters and describes SOI production ramping with demand exceeding supply. This provides a concrete second-source threat and discovery lead. The neighboring claims about full utilization and 30% completed / 20% underway expansion refer to GaN, not SOI. They are excluded from Soitec capacity math.

# GWC's Local Manufacturing Footprint is Aligned with Customer Capacity Expansion

GlobalWafers Co., Ltd. 環球晶圓股份有限公司

- GWC's global manufacturing footprint is increasingly aligned with customer localization requirements, enabling closer customer collaboration and more resilient regional supply, and greater support for customers' traceability and sustainability requirements.
- Localized manufacturing is strengthening strategic customer relationships, as demonstrated by its recently announced long-term collaboration with Micron in July 2026 to support US wafer supply chain localization.
- GWC's expansion investments are beginning to bear fruit, with the focus shifting from fab construction to customer qualification and production ramp-up as new capacity begins contributing to revenue and earnings.

| | Site | Status | Ecosystem Capacity Highlights |
|---|---|---|---|
| On-going Expansion | Sherman, Texas, US | ■ Successfully completed qualification with multiple customers.<br>■ Ongoing process optimization. | >$600B of announced U.S. expansion by leading semiconductor manufacturers supports localized manufacturing demand |
| | St. Peters, Missouri, US | ■ Customer sampling activities are ongoing.<br>■ RF-SOI and silicon photonics products have entered small-volume production. | >$10B of announced investment by leading semiconductor manufacturers reinforces long-term demand for specialty wafers, including SOI |
| | Novara, Italy | ■ Initial customer qualifications are progressing smoothly.<br>■ Capacity utilization will be steadily ramped up in line with customer qualification progress and market demand. | >$10B of announced investment by leading semiconductor manufacturers supports Europe's power semiconductor ecosystem |
| Recent Completion | Utsunomiya, Japan | ■ Capacity expansion has been successfully completed, with all additional capacity fully in place.<br>■ Overall capacity utilization remains at a high level.<br>■ Operational and financial performance continue to improve. | >$30B of announced investment by leading semiconductor manufacturers supports advanced semiconductor manufacturing in Japan |

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*Figure S1. GlobalWafers original Q2 2026 presentation, August 4, page 14. SOI/silicon-photonics production evidence. Source: GlobalWafers issuer presentation; no Soitec market-share inference.*

The repost attributes an 80% Soitec share forecast in FY30 to JPM. That number is not visible in the supplied table and is not verified company guidance. The active bank outcome is treated as already incorporating its own competition assumptions; no second 20% revenue haircut is layered on the same forecast. Qualification at a site does not establish volume at every customer's wafer specification.

## 2. New evidence and fiscal-period discipline

### Original evidence and source status

The owner supplied the table below on October 10, attributed by @OptionKing666 to an October 9 JPM report. The full report, exact post permalink, detailed wafer/ASP build, accounting adjustments and capex/working-capital schedule have not been recovered. The visible table is substantive attributable forecast evidence and receives a numerical weight under Rule 16b. The report date is supplied in the repost, not visible in the crop.

**Table 2: Soitec, JPMe vs. Bloomberg consensus** @OptionKing666

€ million

| | JPMe | | | BBG | | | Diff. | | |
|---|---|---|---|---|---|---|---|---|---|
| | FY27 | FY28 | FY29 | FY27 | FY28 | FY29 | FY27 | FY28 | FY29 |
| Mobile Comm. | 238 | 282 | 342 | 289 | 348 | 412 | -18% | -19% | -17% |
| Auto. & Industrial. | 72 | 80 | 91 | 72 | 77 | 91 | -0% | +3% | +1% |
| Edge & Cloud AI | 394 | 696 | 1042 | 397 | 583 | 754 | -1% | +19% | +38% |
| Revenue | 704 | 1,057 | 1,475 | 734 | 948 | 1,229 | -4% | +11% | +20% |
| Gross profit | 193 | 434 | 684 | 174 | 301 | 441 | +11% | +44% | +55% |
| Gross margin | 27.3% | 41.0% | 46.4% | 23.6% | 31.7% | 35.9% | +370 bps | +934 bps | +1046 bps |
| Operating Income | 65 | 303 | 545 | 44 | 162 | 278 | +47% | +87% | +96% |
| Operating margin | 9.3% | 28.6% | 36.9% | 6.0% | 17.1% | 22.7% | +323 bps | +1156 bps | +1426 bps |
| Net Income | 37 | 243 | 449 | 15 | 128 | 233 | +143% | +90% | +93% |
| Dil. EPS | 1.02 | 6.63 | 12.25 | 0.47 | 3.56 | 6.31 | +116% | +87% | +94% |
| EBITDA | 200 | 443 | 696 | 202 | 324 | 457 | -1% | +37% | +52% |
| EBITDA margin | 28.3% | 42.0% | 47.2% | 27.5% | 34.2% | 37.2% | +86 bps | +780 bps | +996 bps |
| FCF | 262 | 80 | 67 | 81 | 112 | 137 | +223% | -28% | -51% |

*Figure S2. Owner-supplied Table 2, Soitec JPMe versus Bloomberg consensus. Attributed report date October 9, 2026; original crop preserved. EUR million except EPS and margins. Estimates, not results or guidance.*

Soitec's fiscal year ends in March: **FY27 = April 2026-March 2027; FY28 = April 2027-March 2028; FY29 = April 2028-March 2029.** Edge & Cloud AI includes products beyond Photonics-SOI. EUR 1,042M must not be labeled pure photonics wafer sales or compared directly with dollar-denominated photonics guidance.

| Bank forecast | FY27 | FY28 | FY29 |
|---|---|---|---|
| Mobile | 238.00 | 282.00 | 342.00 |
| Auto / industrial | 72.00 | 80.00 | 91.00 |
| Edge & Cloud AI | 394.00 | 696.00 | 1,042.00 |
| Group revenue | 704.00 | 1,057.00 | 1,475.00 |
| Gross profit | 193.00 | 434.00 | 684.00 |
| Operating profit | 65.00 | 303.00 | 545.00 |
| Free cash flow | 262.00 | 80.00 | 67.00 |

The FY28 rounded segment values total EUR 1,058M while group revenue is EUR 1,057M. The model isolates the EUR 1M rounding reconciliation in Other Edge, rather than inventing extra sales. FY29 group revenue and segment totals agree. From the displayed rounded inputs, FY29 Edge is 38.2% above Bloomberg, OP 96.0% above and EPS 94.1% above. These are forecast differences versus consensus, not target revisions or realized growth.

### Cash conversion is a material counterweight

The table forecasts FY29 FCF of **EUR 67M**, versus EUR 137M consensus, despite EUR 449M net income and EUR 545M OP. FCF is approximately 15% of net income. The source excerpt does not identify whether capex, working capital, deposits, financing definitions or other adjustments explain the gap. Do not infer free cash flow from the operating-profit ceiling, and do not invent a dividend or buyback capacity. This lowers confidence in the bank endpoint and is an explicit follow-up.

### Latest issuer anchors and call coverage

The September 2 update expects FY27 Photonics-SOI revenue at 2.5-3x FY26's slightly above USD 100M, Q2 photonics around USD 75M and H1 around USD 115M. Q2 group growth is around 50% at constant currency/scope. The existing EUR 208.5M calendar Q3 2026 group estimate retains the roughly EUR 139M comparative base and neutral translation assumption; it is not exact reported-euro guidance. Q1 FY27 group revenue is EUR 113M actual, while rounded divisions sum to EUR 114M.

The model's USD 1.19/EUR translation assumption is retained. The Q3 2026 photonics forecast remains USD 75M / 1.19. The issuer expects agreements with eight of roughly ten major customers; this expectation is not relabeled completed contracting. The July full management call was previously read. The May full call remains unavailable; written issuer results and the registration document remain the disclosed fallback.

## 3. Analytical score

The category arithmetic gives **49/60 = 82/100** after the -4-point risk deduction. The portfolio Excel Base is **82/100**. Risk-class detail appears in section 8.

| Category | Points | Max | Basis |
|---|---|---|---|
| Core thesis | 19 | 20 | Qualified Photonics-SOI platform, Smart Cut process and ecosystem position. |

| Category | Points | Max | Basis |
|---|---|---|---|
| Cycle stage | 8 | 10 | Photonics accelerating; mobile inventory digestion remains. |
| TAM expansion | 9 | 10 | Optical connectivity across pluggable, NPO and CPO architectures. |
| Catalysts | 5 | 5 | Singapore qualification, capacity reservations and raised September guide. |
| Macro | 8 | 10 | AI interconnect demand is strong but legacy end markets differ. |
| Alpha | 4 | 5 | Architecture-agnostic substrate demand improves breadth of evidence. |
| Risks | -4 | 0 | Ramp, input costs, subsidies, customer concentration, alternative substrates and dilution. |

# 4. Probability ledger and operating bridge

## One coherent outcome, 30% probability

The hypothesis is that the attributed JPM fiscal FY27-FY29 product and cost outcome occurs, against a reference that already contains the September guidance, strong photonics growth, product margins and operating leverage. **Active input = reference + 30% x (conditional - reference).** This is one joint outcome, not independent additions for Edge sales, total sales, gross profit, EPS and consensus beats. The other 70% retains the existing operating assumptions. Probability is not multiplied into the ceiling a second time.

The 30% judgment sits within the framework's single credible source band. A visible company forecast and primary photonics demand evidence support modeling now. Missing full-report cost definitions, an unverified report date, competitive supply and weak cash conversion restrain the weight. Revenue, GP and opex all share that probability so favorable and adverse elements stay coherent. No analyst price target is imported.

## Quarterly allocation and costs

Within each fiscal year, segment revenue follows its existing quarterly profile. Other Edge revenue is held at the reference except the EUR 1M FY28 rounding item. Incremental Edge revenue is assigned to Photonics-SOI as a **LOW-confidence allocation proxy**, not a disclosed segment split. Mobile and auto are reduced to their bank conditional totals. Existing product GMs are retained. The difference between conditional product GP and bank group GP appears as a **signed unallocated GP reconciliation**, allocated across quarters using the reference GP profile. It can represent undisclosed manufacturing absorption, mix, grants or accounting treatment; its cause is not established.

Conditional opex is bank GP minus OP: **EUR 128M / 131M / 139M** for FY27/FY28/FY29. Those are derived bank costs, not issuer expense guidance. Quarterly opex follows the reference quarterly cost profile. In FY29 the conditional EUR 101.40936M OP increment comprises EUR 61.132M more GP and EUR 40.27736M less opex. Its active contribution is **EUR 30.422808M**, comprising EUR 18.3396M GP and EUR 12.083208M expense benefit. This is not all wafer growth.

## FY27 proxy and current guidance protection

Q1 FY27 GP and OP were not separately disclosed. To map the annual bank endpoint without changing the EUR 113M actual sales anchor, use a labeled Q1 proxy: GP = EUR 113M x (FY26 GP96 / sales592) = EUR 18.324324M; opex = FY26 recurring104 / 4 = EUR 26M. Q1 division rounding is reconciled by assigning EUR 64M to modeled Edge versus the rounded reported65. This is allocation arithmetic, not an amended actual.

Calendar Q3 2026 revenue and its current guidance-anchored inputs remain fixed. The bank's remaining fiscal-H2 outcome is then EUR 382.5M sales and EUR 37.775634M OP. Its active H2 result is EUR 449.667647M sales and EUR 81.539867M OP. This includes the negative near-term implications rather than selecting only the favorable later forecast. The Q1 GP/opex proxy is particularly uncertain and affects near-term ceilings; it has **no effect on the Q4 2027 valuation window**.

For a bounded Q1 proxy check, 10-25% Q1 GM and EUR 24-30M opex imply FY27 H2 conditional OP EUR 25.85-48.80M. Weighted H2 OP moves by roughly -EUR 3.58M to +EUR 3.31M around the active calculation. Replace these proxies when the missing cost definition or actual first-half margins are available; do not treat the proxy as reported earnings.

## Source horizon and overlap

The source supplies no FY30 financial table. No new numerical increment is assigned after March 2029; the existing absolute operating trajectory is retained. Its rising output and profit already catch up to the weighted FY29 endpoint. The model does not extrapolate an unidentified bank accounting benefit indefinitely. The text-only 80% market-share assumption is assessed at 30% as a competitive outcome, with a bounded 10-20% photonics-sales loss versus a counterfactual unchanged share. It is not stacked on a bank path that already assumes competitive supply. Without a matching market denominator, assigning a second independent loss would count the same risk twice.

The bank's EPS and net income are downstream of the same forecast and add zero independent earnings. Broad SiPh wafer growth also adds zero direct revenue to SIVE, LITE, COHR or TSEM here: no new company-specific allocation, qualified unit count, emitter content or price is supplied. Their existing optical demand cases remain separate. These are overlap and scope decisions, not a requirement to wait for official confirmation.

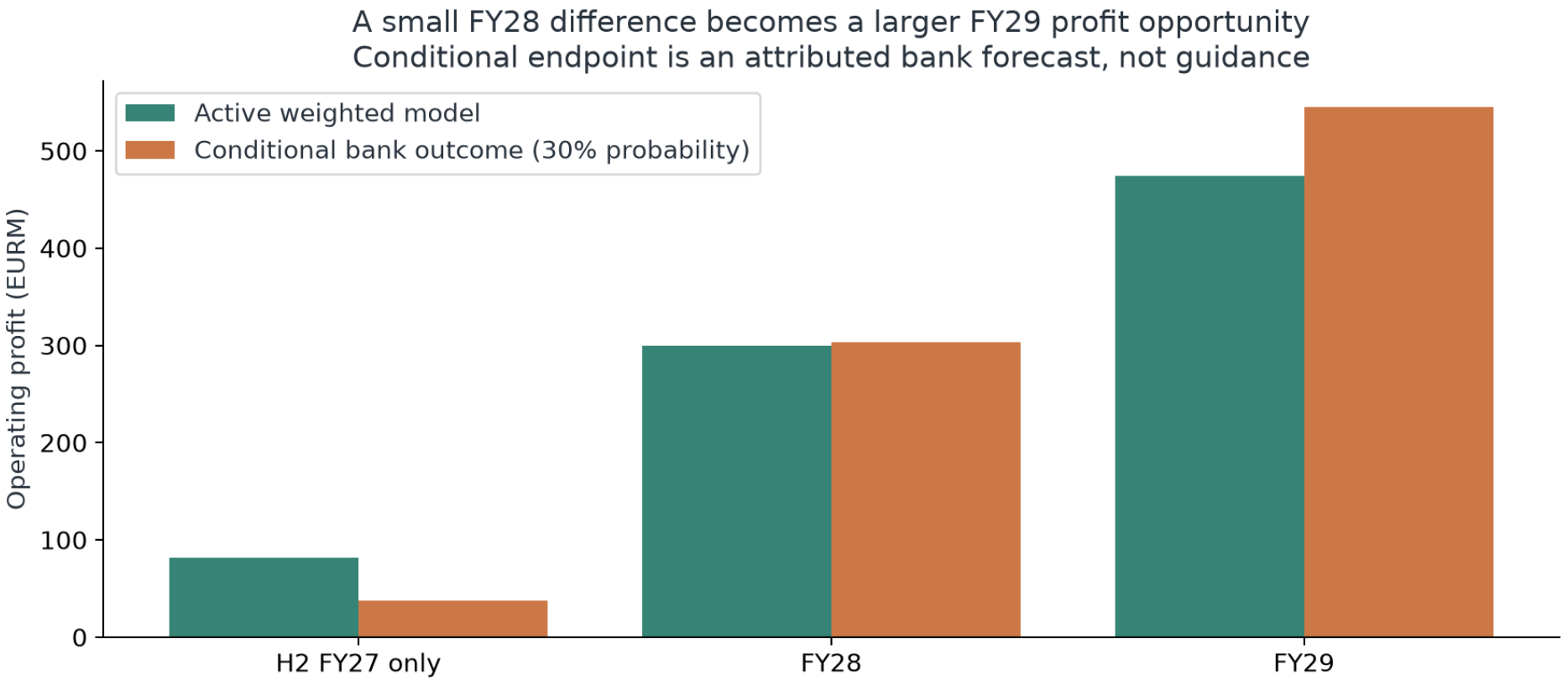



*Figure M1. Fiscal operating-profit outcome. H2 FY27 is a partial-year comparison; FY28 and FY29 are full fiscal years. Active model uses 30% of the conditional difference. Figures below are EUR million.*

| Period | Active revenue | Active GP | Active opex | Active OP | Conditional OP |
|---|---|---|---|---|---|
| H2 only (Q1 proxy and Q2 guidance remain fixed) FY2027 | 449.67 | 151.54 | 70.00 | 81.54 | 37.78 |
| FY2028 | 1,121.96 | 451.98 | 151.96 | 300.02 | 303.00 |
| FY2029 | 1,464.78 | 641.21 | 167.19 | 474.01 | 545.00 |

### Reassessment triggers

Raise or lower the probability using new independent evidence for accepted wafer output, signed customer allocations, product mix and a reconciled margin/cash bridge. Reduce it for delayed NPO/CPO ramps, lost qualifications, lower wafer pricing or additional qualified supply. Resolve the full JPM note's cost adjustments and weak FCF before giving the endpoint higher weight. The probability is a model judgment, not a statistical frequency or the analytical Base score.

## 5. Product economics and active quarterly operating model

Product gross margins include manufacturing depreciation and remain analytical assumptions, not company product-margin guidance. FY2026 announced sales592, GP96 and recurring opex104 imply recurring OP-8M; additional charges123 reconcile to statutory OP-131M. EBITDA151 is not OP. July management indicated roughly EUR 30M lower FY27 gross-margin funding, the1.19 hedge rate versus1.14, and65%+ average loading versus48% in Q1. No future IPCEI renewal is assumed. R&D grants and factory subsidies must remain separately reconciled.

Long-range reference production requirements remain LOW confidence: no verified absolute product-specific wafer capacity or ASP has been disclosed. The additional Edge allocation is not a new measure of installed capacity. Every calendar quarter below is a model forecast, not reported quarterly profit.

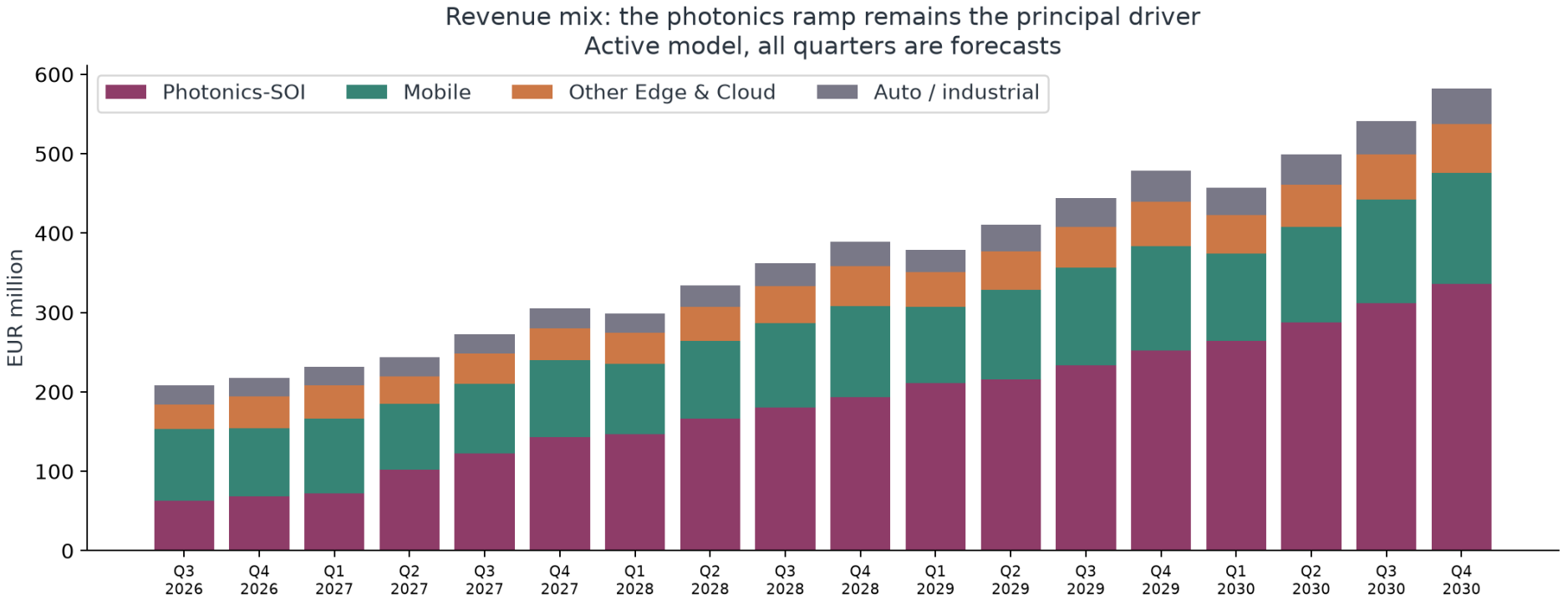



*Figure M2. Active quarterly product revenue, EUR million. Forecasts through Q4 2030; source-specific numerical increments end March 2029. All plotted values are in the following table.*

| Quarter | Photonics | Mobile | Other Edge | Auto / industrial | Total |
|---|---|---|---|---|---|
| Q3 2026 | 63.03 | 90.00 | 31.00 | 24.47 | 208.50 |
| Q4 2026 | 68.40 | 85.57 | 40.00 | 23.83 | 217.80 |
| Q1 2027 | 71.91 | 94.13 | 42.00 | 23.83 | 231.87 |
| Q2 2027 | 102.41 | 82.68 | 34.93 | 24.01 | 244.04 |
| Q3 2027 | 122.89 | 87.28 | 37.93 | 24.93 | 273.03 |
| Q4 2027 | 143.37 | 96.47 | 39.92 | 25.86 | 305.62 |
| Q1 2028 | 146.45 | 88.93 | 39.52 | 24.38 | 299.28 |
| Q2 2028 | 166.13 | 98.18 | 43.20 | 26.48 | 333.99 |
| Q3 2028 | 179.97 | 106.36 | 46.80 | 28.69 | 361.82 |
| Q4 2028 | 193.82 | 114.54 | 50.40 | 30.89 | 389.66 |
| Q1 2029 | 210.86 | 96.13 | 44.00 | 28.32 | 379.31 |
| Q2 2029 | 216.00 | 112.80 | 48.00 | 33.60 | 410.40 |
| Q3 2029 | 234.00 | 122.20 | 52.00 | 36.40 | 444.60 |
| Q4 2029 | 252.00 | 131.60 | 56.00 | 39.20 | 478.80 |
| Q1 2030 | 264.00 | 110.00 | 48.40 | 35.20 | 457.60 |
| Q2 2030 | 288.00 | 120.00 | 52.80 | 38.40 | 499.20 |
| Q3 2030 | 312.00 | 130.00 | 57.20 | 41.60 | 540.80 |
| Q4 2030 | 336.00 | 140.00 | 61.60 | 44.80 | 582.40 |

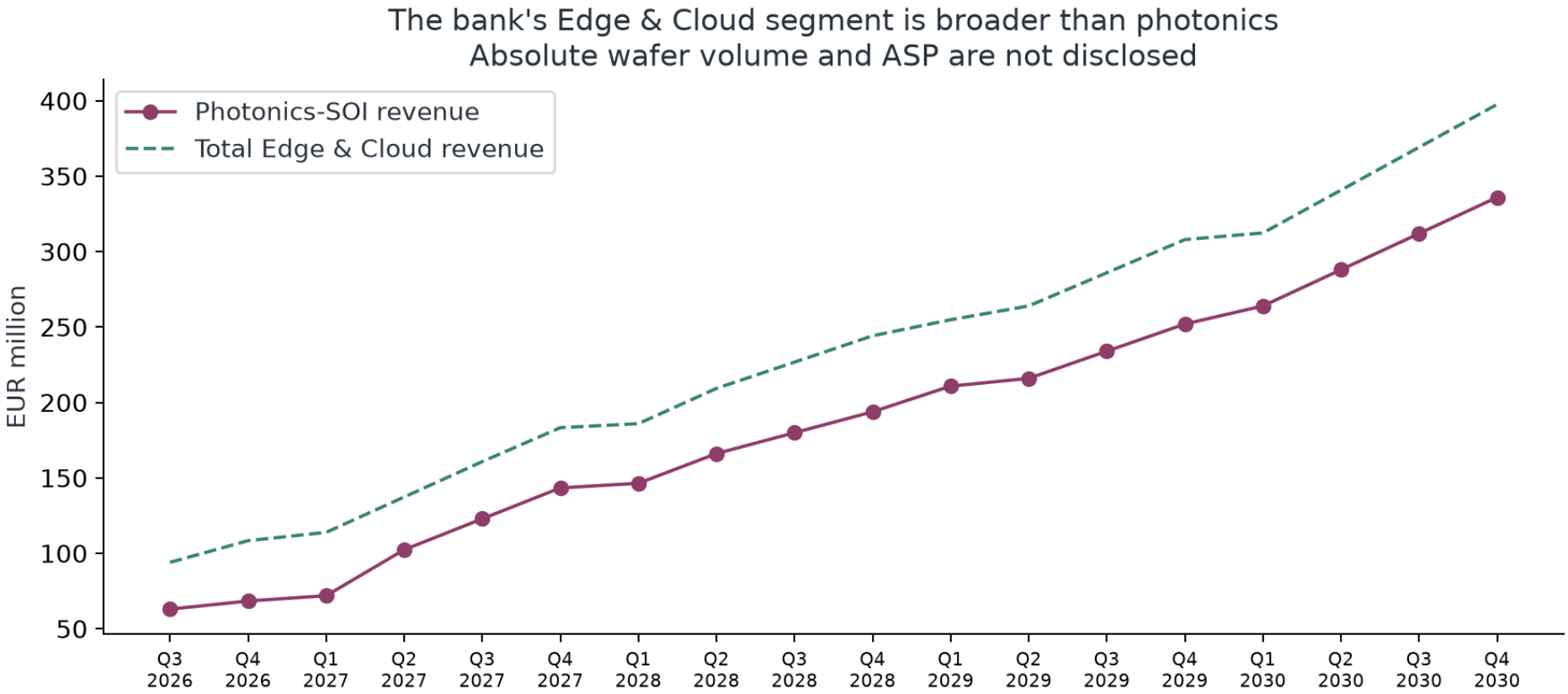



*Figure M3. Photonics versus full Edge & Cloud revenue. The same product-revenue table immediately above supplies all points: Edge = Photonics + Other Edge. This is a revenue driver, not a wafer-count chart.*

| Quarter | Photonics | Other Edge | Total Edge |
|---|---|---|---|
| Q3 2026 | 63.03 | 31.00 | 94.03 |
| Q4 2026 | 68.40 | 40.00 | 108.40 |
| Q1 2027 | 71.91 | 42.00 | 113.91 |
| Q2 2027 | 102.41 | 34.93 | 137.34 |
| Q3 2027 | 122.89 | 37.93 | 160.82 |
| Q4 2027 | 143.37 | 39.92 | 183.29 |

| Quarter | Photonics | Other Edge | Total Edge |
|---|---|---|---|
| Q1 2028 | 146.45 | 39.52 | 185.97 |
| Q2 2028 | 166.13 | 43.20 | 209.33 |
| Q3 2028 | 179.97 | 46.80 | 226.77 |
| Q4 2028 | 193.82 | 50.40 | 244.22 |
| Q1 2029 | 210.86 | 44.00 | 254.86 |
| Q2 2029 | 216.00 | 48.00 | 264.00 |
| Q3 2029 | 234.00 | 52.00 | 286.00 |
| Q4 2029 | 252.00 | 56.00 | 308.00 |
| Q1 2030 | 264.00 | 48.40 | 312.40 |
| Q2 2030 | 288.00 | 52.80 | 340.80 |
| Q3 2030 | 312.00 | 57.20 | 369.20 |
| Q4 2030 | 336.00 | 61.60 | 397.60 |

## Product GM assumptions and unallocated reconciliation

| Quarter | Photonics GM | Mobile GM | Other Edge GM | Auto GM | Unallocated GP (EURM) |
|---|---|---|---|---|---|
| Q3 2026 | 45.0% | 25.0% | 32.0% | 25.0% | 0.00 |
| Q4 2026 | 48.0% | 28.0% | 34.0% | 28.0% | -5.46 |
| Q1 2027 | 50.0% | 30.0% | 35.0% | 30.0% | -6.11 |
| Q2 2027 | 50.0% | 30.0% | 35.0% | 30.0% | -0.34 |
| Q3 2027 | 50.0% | 30.0% | 35.0% | 30.0% | -0.39 |
| Q4 2027 | 50.0% | 30.0% | 35.0% | 30.0% | -0.44 |
| Q1 2028 | 52.0% | 32.0% | 38.0% | 32.0% | -0.46 |
| Q2 2028 | 52.0% | 32.0% | 38.0% | 32.0% | 1.74 |
| Q3 2028 | 52.0% | 32.0% | 38.0% | 32.0% | 1.88 |
| Q4 2028 | 52.0% | 32.0% | 38.0% | 32.0% | 2.03 |
| Q1 2029 | 53.0% | 32.0% | 40.0% | 34.0% | 2.05 |
| Q2 2029 | 53.0% | 32.0% | 40.0% | 34.0% | 0.00 |
| Q3 2029 | 53.0% | 32.0% | 40.0% | 34.0% | 0.00 |
| Q4 2029 | 53.0% | 32.0% | 40.0% | 34.0% | 0.00 |
| Q1 2030 | 54.0% | 32.0% | 40.0% | 34.0% | 0.00 |
| Q2 2030 | 54.0% | 32.0% | 40.0% | 34.0% | 0.00 |
| Q3 2030 | 54.0% | 32.0% | 40.0% | 34.0% | 0.00 |
| Q4 2030 | 54.0% | 32.0% | 40.0% | 34.0% | 0.00 |

The signed final column is an explicit LOW-confidence bank cost/definition proxy. It is included once in consolidated GP after product revenue x GM. It is not a measured product yield, premium, subsidy award or cost reduction. Underlying exact calculations remain in Excel.

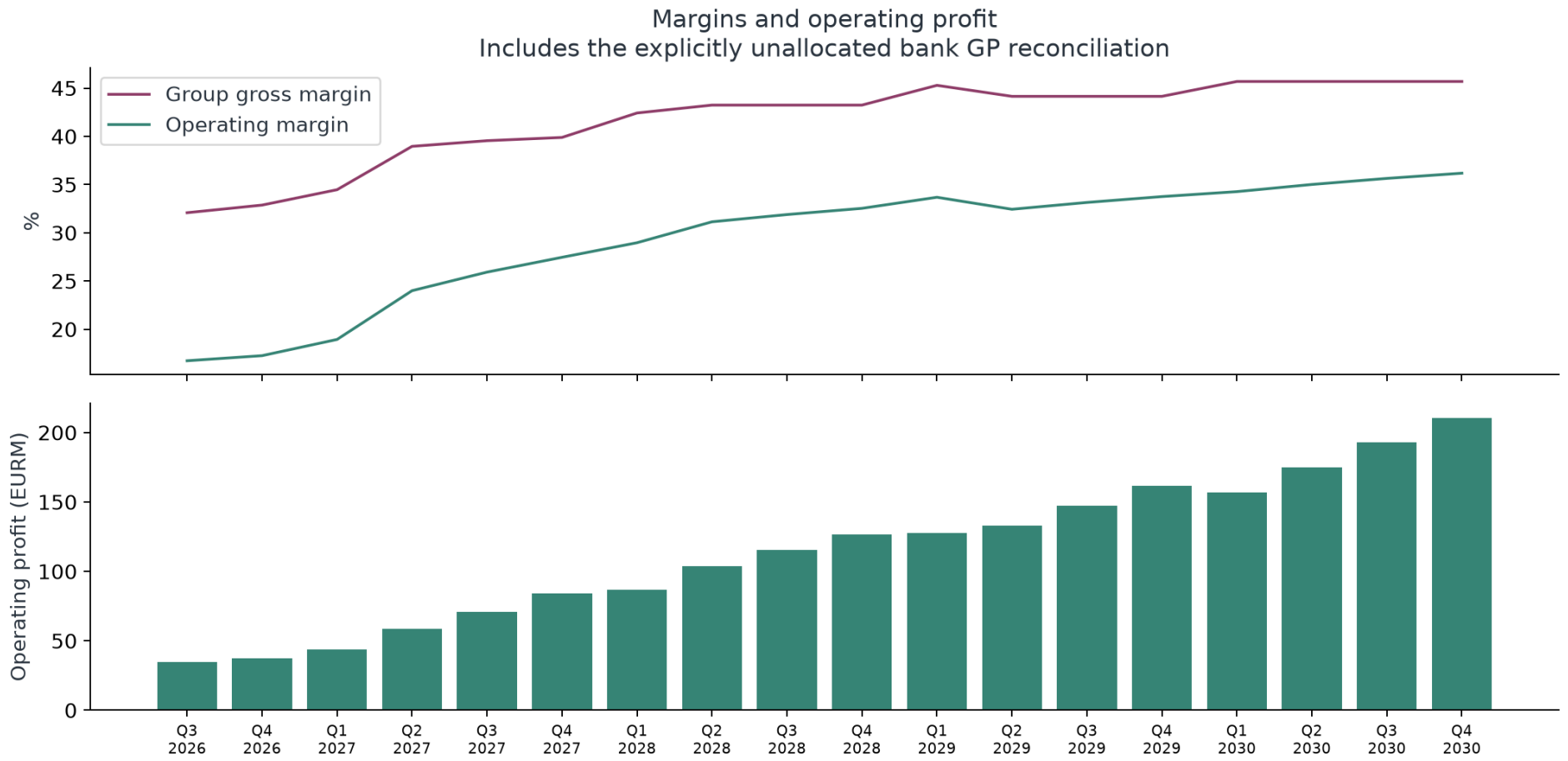



*Figure M4. Group margins and operating profit from the active model. Product GP plus the disclosed unallocated GP reconciliation, less opex, produces operating profit.*

| Quarter | Status | Revenue | GP | GM | Opex | OP | OP margin |
|---|---|---|---|---|---|---|---|
| Q3 2026 | Model | 208.50 | 66.90 | 32.1% | 32.00 | 34.90 | 16.7% |
| Q4 2026 | Model | 217.80 | 71.61 | 32.9% | 34.00 | 37.61 | 17.3% |
| Q1 2027 | Model | 231.87 | 79.93 | 34.5% | 36.00 | 43.93 | 18.9% |
| Q2 2027 | Model | 244.04 | 95.09 | 39.0% | 36.52 | 58.58 | 24.0% |
| Q3 2027 | Model | 273.03 | 107.99 | 39.6% | 37.20 | 70.79 | 25.9% |

| Quarter | Status | Revenue | GP | GM | Opex | OP | OP margin |
|---|---|---|---|---|---|---|---|
| Q4 2027 | Model | 305.62 | 121.92 | 39.9% | 37.98 | 83.94 | 27.5% |
| Q1 2028 | Model | 299.28 | 126.97 | 42.4% | 40.26 | 86.72 | 29.0% |
| Q2 2028 | Model | 333.99 | 144.43 | 43.2% | 40.41 | 104.02 | 31.1% |
| Q3 2028 | Model | 361.82 | 156.47 | 43.2% | 41.06 | 115.41 | 31.9% |
| Q4 2028 | Model | 389.66 | 168.51 | 43.2% | 41.71 | 126.80 | 32.5% |
| Q1 2029 | Model | 379.31 | 171.80 | 45.3% | 44.02 | 127.78 | 33.7% |
| Q2 2029 | Model | 410.40 | 181.20 | 44.2% | 48.05 | 133.15 | 32.4% |
| Q3 2029 | Model | 444.60 | 196.30 | 44.2% | 48.91 | 147.39 | 33.2% |
| Q4 2029 | Model | 478.80 | 211.40 | 44.2% | 49.76 | 161.64 | 33.8% |
| Q1 2030 | Model | 457.60 | 209.09 | 45.7% | 52.25 | 156.83 | 34.3% |
| Q2 2030 | Model | 499.20 | 228.10 | 45.7% | 53.29 | 174.80 | 35.0% |
| Q3 2030 | Model | 540.80 | 247.10 | 45.7% | 54.33 | 192.77 | 35.6% |
| Q4 2030 | Model | 582.40 | 266.11 | 45.7% | 55.37 | 210.74 | 36.2% |

### Calendar annual cross-check

| Calendar year | Revenue | Operating profit | OP margin |
|---|---|---|---|
| 2027 | 1,054.55 | 257.24 | 24.4% |
| 2028 | 1,384.75 | 432.94 | 31.3% |
| 2029 | 1,713.11 | 569.97 | 33.3% |
| 2030 | 2,080.00 | 735.14 | 35.3% |

## 6. Forward-four-quarter operating ceiling and capitalization

Each ceiling = OP in that calendar quarter plus the next three quarters, x25, divided by that quarter's retained diluted shares. Shares start at36.892016M, the prior full-issuance proxy combining35.772015M issued and1.120001M potentially dilutive instruments, with the existing1% annual dilution schedule. This is not the issuer's current certified diluted-EPS share count. No second probability haircut, bank EPS multiple or generic framework multiple is applied.

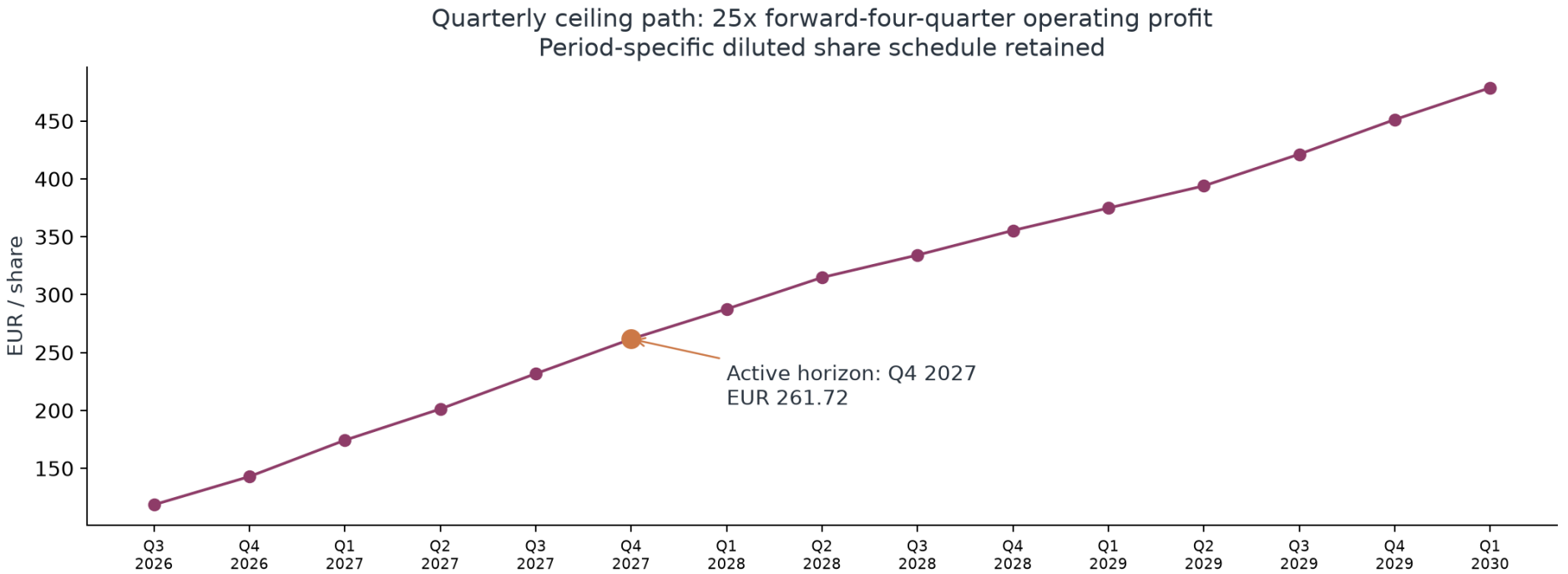



*Figure M5. Active quarterly ceilings, EUR per share. Highlighted Q4 2027 uses Q4 2027-Q3 2028 OP and the retained 25x method. No market-price overlay.*

| Ceiling quarter | Exact OP window | Forward 4Q OP | Multiple | Shares (M) | Ceiling EUR |
|---|---|---|---|---|---|
| Q3 2026 | Q3 2026 to Q2 2027 | 175.02 | 25x | 36.89201600 | 118.60 |
| Q4 2026 | Q4 2026 to Q3 2027 | 210.91 | 25x | 36.89201600 | 142.92 |
| Q1 2027 | Q1 2027 to Q4 2027 | 257.24 | 25x | 36.89201600 | 174.32 |
| Q2 2027 | Q2 2027 to Q1 2028 | 300.02 | 25x | 37.26093616 | 201.30 |
| Q3 2027 | Q3 2027 to Q2 2028 | 345.46 | 25x | 37.26093616 | 231.79 |
| Q4 2027 | Q4 2027 to Q3 2028 | 390.08 | 25x | 37.26093616 | 261.72 |
| Q1 2028 | Q1 2028 to Q4 2028 | 432.94 | 25x | 37.63354552 | 287.60 |
| Q2 2028 | Q2 2028 to Q1 2029 | 474.01 | 25x | 37.63354552 | 314.89 |
| Q3 2028 | Q3 2028 to Q2 2029 | 503.14 | 25x | 37.63354552 | 334.24 |
| Q4 2028 | Q4 2028 to Q3 2029 | 535.12 | 25x | 37.63354552 | 355.48 |

| Ceiling quarter | Exact OP window | Forward 4Q OP | Multiple | Shares (M) | Ceiling EUR |
|---|---|---|---|---|---|
| Q1 2029 | Q1 2029 to Q4 2029 | 569.97 | 25x | 38.00988098 | 374.88 |
| Q2 2029 | Q2 2029 to Q1 2030 | 599.01 | 25x | 38.00988098 | 393.99 |
| Q3 2029 | Q3 2029 to Q2 2030 | 640.67 | 25x | 38.00988098 | 421.38 |
| Q4 2029 | Q4 2029 to Q3 2030 | 686.04 | 25x | 38.00988098 | 451.23 |
| Q1 2030 | Q1 2030 to Q4 2030 | 735.14 | 25x | 38.38997979 | 478.73 |

For Q4 2027, OP EUR 390.082504668M x25 / 37.26093616M shares = **EUR 261.723499775**. The final three operating quarters have no standalone ceiling because a full forward-four-quarter window is unavailable.

## Isolated probability and share sensitivities

All rows retain the same 25x method and share schedule. The0% row is a diagnostic no-increment reference, not a competing active forecast. The100% row is the full conditional bank outcome through its stated horizon, not an analyst target.

| Joint-outcome probability | Q4 2027 ceiling EUR |
|---|---|
| 0.0% | 251.81 |
| 20.0% | 258.42 |
| 30.0% | 261.72 |
| 40.0% | 265.03 |
| 100.0% | 284.85 |

| Share diagnostic at active operating case | Q4 2027 ceiling EUR |
|---|---|
| Retained denominator | 261.72 |
| 5% more shares | 249.26 |
| 10% more shares | 237.93 |

## Current legal shares and the September ORNANE

The issuer's October 5 notice states **35,814,320 ordinary shares at September 30**, unchanged from its September financing reference. These are legal issued shares, distinct from the forecast economic denominator. Full award and conversion reconciliation remains open; do not add new issued shares to a prior potential-share pool without testing overlap.

The September 18 placement release describes **EUR 500M ORNANEs**, expected settlement September 25, 2026 and maturity September 25, 2033,0.5% annual coupon and EUR 206.46 conversion price. The issuer can choose cash, mixed or share settlement. Full share settlement implies up to about2.4218M shares, while cash-par plus premium shares can yield much less. Early exercise before March 26, 2033 requires specified events; ordinary scheduled conversion in2027/28 is not established. The concurrent hedge sale uses existing shares. The original EUR 325M OCEANE was repaid and must not be added back.

Upon settlement, gross cash and debt both rise by EUR 500M; funding is not revenue. Coupon expense would be EUR 2.5M annually below operating profit. The existing sanctioned OP-per-share method therefore receives no invented net-income/cash bonus. No automatic full2.42M dilution is added today. Final settlement, detailed early-exercise thresholds and the complete award reconciliation remain precise tasks. The share diagnostics above bound dilution without changing the established share convention solely from a bank EPS figure.

## 7. Industry relationships and discovery

Photonics-SOI is the engineered starting wafer. TSEM/GFS/other PIC foundries fabricate devices; SIVE/LITE/COHR supply light-source content; FOCI and related companies attach fibers; packaging and test suppliers capture other wallets. A wafer dollar cannot be counted again as a laser dollar. NPO/CPO broadens the need for optical integration, but the exact substrate stack and customer-qualified sourcing remain decisive.

LPKF, FOCI, Riber and WIN can participate in the optical ecosystem without capturing Soitec's starting-wafer revenue. Silicon nitride may complement or substitute for selected functions rather than eliminating the whole SOI wallet. The bank screenshot alone does not change their models.

**GlobalWafers (6488, Taipei Exchange)** is a targeted follow-up candidate because its small-volume SiPh supply could monetize qualified second sourcing while limiting Soitec share or price. Specific photonics capacity, ASP, yield, accepted customer volumes and the contribution within its much larger wafer business remain unresolved. Research priority is medium: the entry is real, but a shortage premium and material profit capture are not yet sized. No new portfolio/model row or Base is created by this recommendation.

## 8. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

| Risk class | Existing deduction |
|---|---|
| Production ramp, yield and input costs | -1 |
| Subsidy transition and recurring-cost conversion | -1 |
| Customer concentration and mobile inventory | -1 |
| Alternative substrates, licensed competition and dilution | -1 |
| **Total** | **-4** |

### Numbered monitoring tests

| # | Checkpoint | Evidence supporting the operating case | Counter-test / failure signal |
|---|---|---|---|
| 1 | Photonics conversion | Reconcile reservations, deposits, qualified output and accepted wafer sales. | Deposits without delivery or margin conversion do not validate the full ramp. |
| 2 | Recurring profit | Reconcile product GP, grants and operating expenses at full results. | Revenue growth without normalized OP leaves the ceiling bridge conditional. |
| 3 | Architecture | Identify required substrate type in named customer designs. | A silicon-photonics announcement without wafer specification does not prove capture. |
| 4 | Shares and capacity | Reconcile the next equity note and productive-capacity disclosure. | Unverified dilution or yield assumptions require explicit sensitivity. |

Add to the existing risk classes, without double-deducting: bank GP adjustments may be non-comparable with recurring OP; FY27 margin timing depends on a disclosed Q1 proxy; cash conversion may lag accounting earnings; GlobalWafers qualification can advance earlier than the source forecast. Monitor the November 18 H1 release for margins/cash, source-note cost definitions, delivery cadence, dilution terms and primary evidence of competitive wafer pricing.

## 9. Sources and remaining evidence gaps

Sources below are those documented in the supplied earnings review. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself establish full completion of the two-call review requirement.

- **SOI-1** · 2026-09-02 · Point sur l’activité de Soitec - issuer release in French. Latest company trading update; other businesses broadly unchanged.
- **SOI-2** · 2026-09-02 · Soitec Trading Update - company newswire. Full numerical FY27 Photonics and Q2/H1 growth guidance.
- **SOI-3** · 2026-07-22 · First-quarter FY2027 revenue - issuer release. Q1 sales and product demand; no quarterly OP.
- **SOI-4** · 2026-07-23 · Q1 FY2027 complete management call reproduction. Full call read, including Q&A; capacity, grants, customer inventory and architecture.
- **SOI-5** · 2026-05-27 · FY2026 French results. Actual revenue, GP, recurring OP, impairment bridge and investment policy.
- **SOI-6** · 2026-06 / July AGM · 2025-2026 Universal Registration Document. Issued shares and all potentially dilutive instruments; expired OCEANE repaid.
- **SOI-7** · 2026-05-28 · Prior earnings call access record. Full transcript unavailable; May issuer results used as written fallback, not claimed as complete call review.

The unchanged original source document is retained separately for full research provenance. It is an archive, not an additional active valuation case. Superseded score/ceiling tables are not incorporated into this active artifact.

- **SOI-8** - Owner-supplied @OptionKing666 screenshot and text, received2026-10-10; report date2026-10-09 as attributed in the repost. Full original note and exact post permalink unavailable. Original exhibit embedded in Figure S2.

- **SOI-9** - Soitec primary September2 trading update. Current photonics/group guidance, broader segment definitions and pending customer agreements.
- **SOI-10** - GlobalWafers August4 Q2 presentation, pages14-15 inspected. Small-volume SiPh/SOI production and qualification response; no exact80% Soitec forecast.
- **SOI-11** - Soitec September18 ORNANE placement release. Placement terms; expected settlement is distinguished from a separately confirmed closing.
- **SOI-12** - September30 legal shares, issuer notice October5. Issued shares are not the diluted model denominator.

**Model snapshot:** October 10, 2026 active Rule16b operating case; 18 quarterly operating rows and15 ceilings. Excel and analytical Base82. Q4 2027 ceiling EUR 261.723499775;25x recurring OP and share schedule preserved. Forecasts use labeled conditional data and accounting proxies. Full bank note, actual first-half cost conversion, final financing settlement/early-exercise details and award reconciliation remain open.